periodical income from their financial assets. The purchasing power of their asset remains intact only if the interest rate is more than rate of inflation. Take an example where the interest rate is 8 per cent. The investor can earn ₹8 for ₹100 investment. Suppose, if the rate of inflation is 10 per cent she/he can buy fewer goods than that of her/his purchase before inflation with the invested amount.

The bond issuers gain, the bond holders lose. The fixed interest rate paid for the bonds are not enough to compensate the effect of inflation. So to avoid this, interest is fixed on the basis of inflation. It means the interest varies according to inflation. If inflation is 10 per cent the interest rate shall be adequate to compensate this 10 per cent. The interest rate may be 10 per cent or more. These types of bonds are called **Inflation indexed bonds.**

The security holders' income depends on the profit of the company. In inflationary situation, the companies earn more profit. So, the equity holders also earn more income.

2. Effects on Production and Consumption

The inflation may lead to fall in the demand for goods and services. It may curtail the amount of production. Inflation also leads to reallocation of resources. Sometimes, only few goods may experience price rise. In that case, the investment from other sectors may shift to these sectors.

In packaged items, in order to maintain same price per package, the producers reduce the quantity or quality or both instead of raising price. It means, less production and consumption.

3. Other Effects